For example, If an Indian company imports crude oil from Iran and exports it as petroleum after refining it in India, to Nepal it is called Entrepot trade. In this context crude is converted into petrol and exporter as petrol to Nepal

Now you must be thinking why India comes between Iran and Nepal. Why does not Nepal directly import crude oil from Iran?. Let us explore what could be the possible reasons for this.

Neccessity for Entrepot Trade

A country cannot import goods directly from the others because of the following reasons.

a) The country may not have any accessible trade routes connecting the importing country

b) The goods imported may require further processing or finishing before exporting, and these facilities may be lacking in the exporting or importing country

c) There may not have any bilateral trade agreement between both the country

d) Importer and exporter may not share good economic relation with each other

Features of Entrepot Trade

The following are the special features of Entrepot trade

a) Import duty is not levied on such goods

b) These goods are reprocessed and repacked for re- export

c) Such goods are kept in the Bonded warehouse till they are re-exported.

25.08 Advantages and Disadvantages of International Business

Advantages

1. Geographical Specialization

Countries across the world differ significantly in terms of natural resources, capital equipment, manpower, technology and land and so on. Some countries are rich in mineral resources hydro-electric power metallic resources, and so on while some other countries may possess advanced technique of manufacturing, efficient working population, capital equipment and so on. International business is required to exchange the surplus resources resulting from geographical specialisation for deficit resources in other countries

2. Optimum use of Natural Resources

International business operates on a simple principle that a country which can produce more efficiently and trade the surplus production with other countries has to procure what it cannot produce more efficiently. This enables the countries to optimally utilize the scarce resources available with them

3. Economic Development.

International business helps the developing countries greatly in achieving rapid economic development by importing machinery, equipment, technology, talent, and so on. For example., China, India, Brazil and South Korea which were once slower in their economic development are achieving faster economic development due to international business. Even the developed

Commerce 16-25.indd 251 2/17/2021 4:50:21 PM